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Is My IFA Life Insurance a Tax Shelter? (And why should I care?)

David Kakon, B.Sc. (Math Hons.), August 2026 / David@ArmstrongLife.com

Many “100%-financed” Immediate Financing Arrangements (IFAs) may meet the Income Tax Act’s technical definition of an unregistered tax shelter – not because of aggressive tax planning, but because of basic arithmetic. When a promoter’s own marketing materials represent that borrowed funds (matching the premium dollar-for-dollar) will be invested and used to generate a tax deduction, and that financing is legally a “limited-recourse amount” under s. 143.2, the resulting “net cost” calculation under s. 237.1(1) can fall to \$0 – triggering the statutory tax-shelter threshold before any GAAR analysis is even required. This article walks through the statutory mechanics step by step, addresses the promoter defenses most likely to be raised, and sets out the questions advisors and policyholders should ask before proceeding.

Immediate Financing Arrangements (IFAs) have been widely promoted to high-net-worth individuals as a strategy to fund permanent life insurance.

The structure typically involves acquiring an insurance policy, paying the annual premium, immediately borrowing back an equal amount from a third-party lender to replenish capital for legitimate income-generating purposes, and deducting the annual loan interest. The loan is designed to be carried indefinitely and repaid from the death benefit, leaving a net payout that is often pitched as "free insurance."

This analysis focuses specifically on the structure where the principal loan advances equal the insurance premiums, representations of tax deductions are made, and the debt is illustrated as being repaid from the death benefit.

This is not an analysis of every loan that happens to be secured by a life insurance policy. There is an important distinction between a taxpayer who independently purchases insurance and later obtains a business loan, and an integrated insurance-and-financing strategy that is specifically designed, arranged, and represented as a way of obtaining "free" or "no-cost" insurance.

While much of the industry is focused on whether these arrangements violate the newly expanded General Anti-Avoidance Rule (GAAR), there is a much more immediate, mechanical compliance risk. Based on a strict reading of the mathematical definitions in the Income Tax Act (ITA), it appears that certain leveraged life insurance structures may technically qualify as tax shelters. Advisors and corporate policyholders must carefully evaluate this risk.

The Statutory Test: Evaluating IFA Tax-Shelter Risk

The definition of a tax shelter in subsection 237.1(1) is principally an objective, representation-based statutory test. If representations made to a client, such as financial illustrations, indicate that expected tax deductions in any of the first four years will equal or exceed the cost to the purchaser of the interest in the property, reduced by prescribed benefits (for convenience, this article refers to that resulting amount as the "net cost"), the arrangement meets the statutory definition of a tax shelter.

The CRA describes the tax-shelter test in similar terms: the relevant comparison is between the losses, deductions, or credits represented in the first four years and the investment's net cost after prescribed benefits. CRA also states that prescribed benefits include limited-recourse debt.

The Mathematical Trigger: When Net Cost Falls to Zero

In a 100%-financed IFA, the mathematical effect can be significant. Consider a scenario where a client pays a \$100,000 annual insurance premium and immediately borrows back \$100,000 to invest. If, and only if, that \$100,000 financing is determined to be a prescribed benefit in respect of the relevant property interest, and the relevant cost is \$100,000, the resulting recognized net cost would be \$0:

\$100,000 gross outlay - \$100,000 prescribed benefit = \$0 net cost

Importantly, the tax-shelter definition is designed to be a self-contained calculation. It determines the relevant property cost without applying the Act's other general rules that typically reduce the cost of an asset for limited-recourse debt (specifically, section 143.2). Instead, it takes the full \$100,000 initial cost and directly subtracts the prescribed benefit. The \$0 figure in this example therefore comes strictly from the tax-shelter formula itself, preventing any argument that the cost-reduction is being double-counted.

Sample IFA Illustration: \$100,000 x 10 Client (Age 60)

Yr	Age	Deposit	Ann Loan	Cum Debt	Total Face	Net Benefit (Face - Debt)
1	60	100,000	100,000	100,000	1,446,039	1,346,039
2	61	100,000	100,000	100,000	1,586,368	1,386,368
3	62	100,000	100,000	100,000	1,728,112	1,428,112
4	63	100,000	100,000	100,000	1,868,904	1,468,904
5	64	100,000	100,000	100,000	2,008,261	1,508,261
10	69	100,000	100,000	1,000,000	2,700,334	1,700,334
15	74	-	-	1,000,000	2,561,357	1,561,357
20	79	-	-	1,000,000	2,488,774	1,488,774

Promoter's Representation Note: The marketing illustration explicitly assumes tax savings result from claiming a deduction for loan interest & collateral insurance. See full illustration attached

If the illustration shows even \$1 of deductible amounts in Year 1 against a \$0 net cost, the statutory tax-shelter threshold is met.

This illustration cleanly establishes both statutory elements: \$0 Net Cost (100% matched loan advance) and Represented Deductions (interest + explicit written tax-saving representations).

If the financing is determined to be a prescribed benefit, the illustration establishes the two numerical inputs needed for the tax-shelter calculation: a \$0 recognized net cost and represented deductions in excess of that amount. That conclusion is therefore not established merely by the existence of a 100%-financed premium; it depends on the separate legal characterization of the financing under ss. 143.2(7) and (12), and on establishing the required "in respect of" connection under Reg. 3100.

For the limited-recourse analysis below, two legal conditions must be met: the financing must first be a limited-recourse amount, and it must then constitute a prescribed benefit "in respect of" the relevant interest in property. Here is how the statute makes that connection.

The Statutory Trap: Limited-Recourse Debt & The Deeming Provision

When evaluating whether an IFA loan is a "limited-recourse amount," industry practitioners often point to outside collateral, personal guarantees, and the lender's ability to call the loan on demand as proof that the debt is "fully recourse." While these features satisfy a bank's commercial risk requirements, they do not necessarily resolve the statutory question.

Subsection 143.2(7) is a strict statutory deeming provision. The law explicitly provides that the unpaid principal of an indebtedness is deemed to be a limited-recourse amount unless a specific timing condition is met at inception: there must be bona fide arrangements, evidenced in writing, to repay the principal and interest within a reasonable period not exceeding 10 years.

"...the unpaid principal amount of the indebtedness shall be deemed to be a limited-recourse amount... unless bona fide arrangements were made in writing, at the time the indebtedness arose, for repayment of all principal and interest... within a reasonable period not exceeding 10 years."

Paragraph 143.2(7)(a) contains the repayment-arrangement requirement, while paragraph 143.2(7)(b) contains separate interest requirements. The interest condition is specific: interest must be payable at least annually, at or above the statutory prescribed-rate threshold, and paid within 60 days after the end of the debtor's taxation year. The facts examined appear to satisfy these requirements, and are subject to verification. However, they potentially fail the bona fide principal repayment arrangement component.

A deeming provision creates a statutory rule that can override ordinary commercial characterization. The existence of collateral, guarantees, or a lender's right to demand repayment does not, by itself, bypass this rule. Where the statutory requirements are not satisfied, the unpaid principal is legally deemed to be a limited-recourse amount.

The Demand-Loan Workaround May Not Avoid the 10-Year Rule

One possible response to the 10-year requirement is to structure the financing as a one-year renewable demand loan, arguing that a 1-year loan is shorter than 10 years. The ITA explicitly addresses this issue.

Under subsection 143.2(12), if the repayment arrangement can reasonably be considered part of a series of loans or other indebtedness and repayments that ends more than 10 years after the series begins, the debtor is considered not to have made arrangements to repay the indebtedness within 10 years.

Because marketing materials and illustrations may explicitly present these facilities as lifelong loans intended to be "repaid out of the death benefit," those representations provide significant evidence that successive facilities form part of a continuing financing arrangement. Consequently, a demand loan may be deemed to be a limited-recourse amount.

This specific risk is not merely theoretical; it is quietly acknowledged in advanced life underwriting circles. Technical commentary within the insurance sector has cautioned that the CRA views demand loans as limited-recourse amounts when the 10-year repayment timeline is absent. A 2010 CRA advance income tax ruling, 2009-0340381R3, provides a useful public example of this principle: the ruling described a demand loan secured by an insurance policy and annuity as a limited-recourse amount, while nevertheless concluding that the annuity was not a tax shelter because the statutory numerical threshold was not met. The ruling therefore supports the proposition that the limited recourse analysis and the tax-shelter numerical test are separate questions.

The “In Respect Of” Connection: The Investment as the Relevant Property

Once a loan is deemed to be a limited-recourse amount, the final step in the tax-shelter analysis is determining if it constitutes a “prescribed benefit.”

Regulation 3100(1) defines a prescribed benefit by reference to an “interest in a property” and to statements or representations made in respect of that interest. An analysis of historical paragraph 20(1)(c) interest deductions provides the exact factual anchor required to identify the relevant property.

A promoter might attempt to sever this connection by arguing that the limited-recourse amount is “in respect of” the loan facility itself – a distinct financial product – rather than “in respect of” the investment acquired with the borrowed funds. That argument misreads Regulation 3100. The regulation does not ask what security instrument or collateral arrangement was used; it asks what interest in property the statements and representations relate to. A loan is the financing mechanism, not itself an “interest in property” for purposes of this analysis. The relevant question is always what property interest the promoter’s representations identified as being acquired, and what deductions the promoter represented would flow from that acquisition. Where, as here, the promoter’s own materials identify the investment – not the loan – as the asset acquired and as the source of the represented deduction, the loan cannot simultaneously be recharacterized as an independent product severed from that property interest.

In a typical represented structure:

1. The taxpayer is illustrated paying the \$100,000 insurance premium with out-of-pocket funds.
2. The taxpayer is illustrated subsequently borrowing \$100,000 from a lender.
3. The borrowed \$100,000 is represented as being traced directly to an income-producing investment.
4. The illustration explicitly derives the represented paragraph 20(1)(c) interest deductions from the fact that this borrowed money is invested for that specific income-producing purpose.

The taxpayer does not argue that the borrowed \$100,000 was used to acquire the insurance policy. Borrowed money used to acquire a life insurance policy generally does not qualify for an interest deduction under paragraph 20(1)(c).

The taxpayer cannot rely on the identity of the investment to establish the deductibility of the interest and then, for purposes of Regulation 3100, contend that the same investment is unrelated to the financing. Following this framework provides a direct statutory path where every step is driven by the promoter's representations and corroborated by the taxpayer's actual tracing:

A. Identify the Property

The Representation: The promoter's illustrations and marketing materials specifically represent that the borrowed funds will be used to acquire an income-producing investment, making that investment the relevant property interest for the tax-shelter analysis.

The Actual Tracing: The taxpayer's actual tracing of the borrowed funds to the investment executes this representation and provides independent, factual corroboration of the property's identity.

Note: A promoter could argue that the relevant property for purposes of subsection 237.1(1) and Regulation 3100 is the life insurance policy itself, rather than the investment acquired with the borrowed funds. This is explored in Appendix 5

B. Establish the Cost

The Representation: The arrangement represents the acquisition of an investment with an initial cost of \$100,000.

The Actual Tracing: The taxpayer actually acquires an investment with a \$100,000 cost. Borrowing money to fund this acquisition alone does not reduce the property's initial tax cost to zero under general rules.

C. Establish the Nexus

The Representation: The promoter's materials explicitly map the connection: \$100,000 borrowing → \$100,000 investment → represented 20(1)(c) deduction. The illustration actively derives the tax savings from the exact premise that the borrowed money was invested for an income-producing purpose.

The Actual Tracing: The taxpayer's actual tracing of the borrowed funds to claim the paragraph 20(1)(c) interest deduction serves to execute and corroborate that exact represented connection. The tax-shelter issue is not dependent on maintaining dollar-for-dollar physical segregation forever. Later account activity may affect whether particular interest remains deductible under paragraph 20(1)(c), but that is a different question from what property interest was represented and what prescribed benefit was reasonably expected in connection with that interest for purposes of section 237.1 and Reg 3100.

D. Establish Limited Recourse

The Representation: The arrangement is illustrated and pitched as a lifelong loan to be repaid entirely from the death benefit, conspicuously lacking a 10-year principal repayment schedule.

The Actual Tracing: The actual loan documentation executes this design (e.g., as an interest-only demand loan). Under subsections 143.2(7) and 143.2(12), the absence of a bona fide 10-year written repayment arrangement legally deems this debt to be a limited-recourse amount, regardless of commercial collateral.

E. Establish the Prescribed Benefit

The Representation: Because the promoter expressly illustrates the 20(1)(c) tax deductions as being derived directly from the fact that the borrowed funds were used to acquire the investment, that representation provides the evidentiary basis for identifying the investment as the property interest against which the Regulation 3100 test is applied.

The Actual Tracing: The taxpayer factually implements this connection. The statutory question is therefore simply whether this represented and executed connection satisfies the words “in respect of” in Regulation 3100.

F. Calculate Recognized Net Cost

The Representation: The illustration establishes both mathematical inputs: a \$100,000 property cost minus a \$100,000 prescribed benefit yields a \$0 recognized net cost.

The Actual Tracing: This \$0 net cost is strictly compared against the promoter’s represented deductions in the first four years: \$0 recognized net cost vs. even \$1 represented Year-1 deductions:

$$\$1 \geq \$0$$

Result: Subject to all other statutory conditions being satisfied, this calculation yields the numerical result necessary to trigger the tax-shelter threshold under subsection 237.1(1).

Establishing the Connection Without a “Leap of Faith”

It is critical to recognize that this argument does not depend on treating the representation itself as creating the prescribed benefit. The reasoning is separated into independent statutory propositions:

1. Representation → Identifies the property interest. The promoter does not make three unrelated representations. It makes one integrated representation:

\$100,000 financing

- acquisition of \$100,000 investment
- interest deduction from that investment.

The representations provide evidence identifying the property interest and the relationship between the financing and that property for purposes of the Regulation 3100 analysis; the actual tracing independently corroborates that represented relationship.

2. Section 143.2 → Characterizes the debt. The statute independently determines whether the debt is a limited-recourse amount.
3. Regulation 3100(3) → Includes qualifying limited-recourse amounts as prescribed benefits. The regulation independently determines whether that limited-recourse amount is a prescribed benefit in respect of that property interest.
4. Section 237.1(1) → Calculates the arithmetic. Only after those three propositions are established do you perform the arithmetic to compare the net cost against the represented deductions.

The representations provide the evidentiary basis for identifying the property interest and the relationship between the financing and that property; the statute, independently, determines whether the debt qualifies as the prescribed benefit.

This sequence prevents any circularity. The CRA's own tax-shelter guidance states that the definition depends on reasonable inferences drawn from representations made in connection with the property, including written promotional material and verbal representations. Furthermore, the Federal Court of Appeal's decision in *Krumm v. Canada*, 2021 FCA 78, is specifically understood as giving a broad, objective scope to the representation component of the tax-shelter definition.

Finally, a promoter cannot simultaneously make two mutually inconsistent factual propositions. At the point of sale, the representation is: "Borrow \$100,000 → invest \$100,000 → deduct the interest." At audit, a promoter cannot pivot and argue: "Actually, you cannot say the loan is connected to that investment because we don't know which dollars ultimately remained in the investment account." That second position directly contradicts the factual premise upon which the first tax representation—and the taxpayer's interest deduction—was originally made.

This separation of concepts is practically demonstrated by CRA advance tax ruling 2009-0340381R3. In that ruling, the CRA expressly described a demand loan secured by an insurance policy as a limited-recourse amount, while separately analyzing whether the associated property was a tax shelter. This illustrates that the limited-recourse characterization and the tax-shelter numerical test are analytically separable questions.

Anticipating The Combined-Property Defence

A promoter might attempt to defeat the tax-shelter threshold by asserting that the insurance policy and the investment together constitute a single, combined "property," thereby diluting the net-cost calculation. However, Regulation 3100(1) turns on the statements or representations made in respect of an interest in property at the time the arrangement was sold—not on a characterization advanced afterward.

The promoter's own point-of-sale materials identified two distinct transactions: a premium payment and a separately traced loan advance used to acquire an investment, with the interest deduction pitched specifically on that investment. Nothing in those representations described a single blended acquisition. A combined-property argument raised at audit is therefore not an alternative reading of what was represented—it is a representation that was never made.

The Representation: At the point of sale, the promoter's own materials described two distinct transactions – a premium payment and a separately traced loan advance used to acquire an investment – with the interest deduction pitched specifically on that investment. No document represented a single blended acquisition.

The Actual Tracing: The taxpayer's own paragraph 20(1)(c) filings confirm this same two-transaction structure, since that deduction is only available by tracing borrowed funds directly and exclusively to an income-producing investment – a filing position that is factually incompatible with treating the policy and investment as one blended asset.

Furthermore, asserting that the borrowed funds were used to acquire a combined asset directly contradicts the taxpayer's own annual paragraph 20(1)(c) tax filings, which mandate strict direct tracing of borrowed capital exclusively to income-producing investments. If a promoter attempts to legally blend the investment with the non-qualifying insurance policy to artificially raise the property's cost, they effectively taint the borrowed funds with a non-qualifying purpose, thereby jeopardizing the very interest deduction the IFA relies upon. Consistent with the analysis regarding the subsequent commingling of funds, a recharacterization proposed after the fact cannot substitute for the representations made when the arrangement was sold.

Anticipating the Commingling Defence: The Law Tests the Pitch, Not the Plumbing

A promoter facing this analysis may argue that once borrowed funds enter a large, commingled corporate investment account, tracing the specific loan becomes impractical, converting the facility into ordinary investment financing.

That argument confuses current-use tracing under paragraph 20(1)(c) with the representation test under subsection 237.1(1).

For interest deductibility, the taxpayer must establish the current use of borrowed money. But the tax-shelter analysis under subsection 237.1(1) asks a fundamentally different question:

What interest in property was being promoted, what was represented in respect of that interest, and what deductions and benefits could reasonably be expected on the basis of those representations?

In a fully financed IFA, the promoter presents a specific point-of-sale representation:

\$100K premium → \$100K financing → \$100K investment → represented deductions

The promoter's own representation provides evidence identifying the investment interest to which the financing and represented deductions relate. The subsequent commingling of funds may be relevant to other tax questions, including the taxpayer's ability to establish current use for paragraph 20(1)(c), but it does not retroactively erase the representations made when the arrangement was sold for purposes of the representation-based tax-shelter inquiry.

What the CRA's Tax Shelter Application (Form T5001) Reveals About the Representation Test

For context, Form T5001 (Application for a Tax Shelter Identification Number) is the official CRA document that a promoter must file to register an arrangement and obtain a tax-shelter number before selling it. While the form itself does not legally determine whether a particular arrangement is a tax shelter, it perfectly illustrates how the CRA expects the representation test to be applied.

The statutory regime itself requires the promoter to identify the property, disclose pre-arranged financing, disclose represented deductions, and provide the promotional and financing documents from which those representations arise. CRA's current T5001 instructions expressly require the promoter to identify the tax-shelter property, whether there is a pre-arranged loan (which the CRA considers to be any loan where the lender forms an integral part of the arrangement), and the gross deductions represented for each of the first four years. The form specifically provides an "Interest expense" category. Furthermore, the CRA requires promotional materials, financing documentation, and flowcharts of funds to be supplied with the application.

Crucially, Form T5001 does not ask how a purchaser might subsequently commingle their borrowed funds; it asks exactly what deductions were represented at the point of sale. A promoter cannot claim in marketing materials that borrowing to invest will generate specific deductible interest, and then later argue under audit that the client's subsequent commingling of those funds negates that initial representation.

A Note on Circularity

It may be tempting to characterize this analysis as circular: the arrangement is a tax shelter because net cost is zero, and net cost is zero because the arrangement is a tax shelter.

It is not circular. The limited-recourse determination under subsections 143.2(7) and (12), and the prescribed-benefit determination under Regulation 3100(1) and (3), are made independently of—and strictly prior to—the net-cost calculation under subsection 237.1(1).

The \$0 net cost is the computed output of applying these independent statutory tests to the represented facts. It is not an assumption smuggled in to reach the shelter classification.

The Consequences of an Unregistered Tax Shelter

By law, a promoter must register a tax shelter with the CRA and obtain a Tax Shelter Identification Number before offering it for sale.

If a client's arrangement is assessed as an unregistered tax shelter, potential CRA positions include:

- **Potential Denial of Deductions:** Under subsection 237.1(6), no amount may be deducted or claimed in respect of a tax shelter unless the prescribed form containing the tax-shelter identification number is filed.
- **Reduction of Cost Basis:** Section 143.2 contains rules that can reduce the expenditure or capital cost of a tax-shelter investment by specified limited-recourse amounts.
- **Surplus Stripping & GAAR:** Where insurance is owned corporately and funds are borrowed personally, CRA has asserted surplus stripping and applied GAAR. CRA is also applying GAAR to structures that do not involve surplus stripping.
- **Third-Party Penalties:** Under subsection 237.1(7.4), selling or accepting consideration for an unregistered tax shelter can trigger penalties equal to the greater of \$500 and 25% of the applicable statutory consideration amount (which could include all investments made in the unregistered plan). Separately, section 163.2 can impose third-party civil penalties where a person makes or participates in a false statement under a statutory knowledge or culpable-conduct standard. Section 163.2 is not triggered merely because an advisor's tax position is ultimately unsuccessful.

What Can You Do?

If you suspect your life insurance arrangement may be an unregistered tax shelter, consider taking proactive steps:

1. **Run the Math:** Work with an independent technical resource to calculate the “net cost” against represented deductions in the first four years.
2. **Ask for the TS Number:** Request the Tax Shelter Identification Number from the promoter or broker.
3. **Seek Independent Tax Advice:** Consult a qualified tax professional with no financial interest in the policy transaction.

CRA Activity

Consider the CRA’s explicit response to Question 1 at the 2026 CRA Roundtable (Reference: 2026-1089291C6) regarding enforcement. While this does not establish that an ordinary IFA is inherently abusive, it confirms that insurance-based tax planning remains an active compliance focus:

We continue to seek out, audit and re-assess all arrangements which attempt to utilize insurance products or insurance-like products to gain a tax advantage not envisioned by tax policy and legislation.

Within CRA, the High Net Worth Compliance Directorate (HNWCD) develops, implements, and coordinates business intelligence and compliance initiatives to address non-compliance in the High Net Worth population through the Audit Program Division, which includes the Aggressive Tax Planning audit program (ATP), and the Tax Promoter and Advisor Compliance program (TPAC).

While the ATP Audit Program addresses aggressive tax planning by taxpayers who participated in such abusive insurance-related tax schemes, the TPAC program addresses non-compliance associated with promoters and advisors who promote or sell aggressive tax schemes. TPAC is accountable for identifying and combating aggressive tax schemes and holding promoters accountable through audit activities.

Conclusion: Following the Money

A mechanical tax-shelter analysis of an IFA does not require complex or speculative recharacterization. Here is a specific statutory pathway by which this particular structure may satisfy the tax-shelter definition. The cleanest route is to follow the money and examine the promoter’s own representations alongside the taxpayer’s actual tracing of the borrowed funds for paragraph 20(1)(c) purposes:

- Borrowed Funds → Investment
- Investment Cost → \$100,000
- Limited-Recourse Amount → \$100,000
- Prescribed Benefit in respect of Investment → \$100,000
- Represented Deductions → >\$0

If, and only if, the financing is determined to be a prescribed benefit, the resulting net cost is \$0, and the statutory requirements for a tax shelter are potentially satisfied. The promoter's own tracing and representations provide the factual foundation for identifying the investment interest. Once the statutory requirements are satisfied, the mathematics follow.

If this analysis is relevant to an IFA you hold or are evaluating, ask your advisor or promoter:

"Has this exact IFA structure been analyzed under ITA ss. 143.2(7), 143.2(12), Regulation 3100(3), and ITA s. 237.1(1), addressing whether the outstanding loan constitutes a prescribed benefit in respect of the reinvested investment, and if so, does the arrangement have a Tax Shelter Identification Number?"

David Kakon, B.Sc. (Math Hons.)

David@ArmstrongLife.com

Appendix 1: The Statutory Chain

For tax professionals reviewing the structural integrity of these arrangements, the mathematical transition to an unregistered tax shelter is triggered by the following statutory chain:

ITA Section 143.2(7): Classifies financing as a "limited-recourse amount" if the arrangement lacks a bona fide written agreement requiring principal repayment within 10 years and interest compliance. Subsection 143.2(12) addresses series of loans extending beyond 10 years. (Sherman)

ITR Regulation 3100(3): Defines prescribed benefits to include specified limited-recourse amounts under section 143.2, including subsection 143.2(7).

ITA Section 237.1(1): Defines a tax shelter by comparing represented deductions in the first four years against net cost after prescribed benefits.

ITA Section 237.1(6): Prohibits deductions or claims in respect of a tax shelter unless the form containing the tax-shelter number is filed.

ITA Section 143.2(6): Contains rules that reduce the expenditure or capital cost of a tax-shelter investment by specified limited-recourse amounts.

ITA Section 237.1(7.4) & ITA Section 163.2: Outlines civil penalties for selling unregistered tax shelters and third-party penalties for false statements under a culpable-conduct standard.

CRA Guidance on Tax Shelters: "Tax Shelters" section of Canada.ca. (Source: Canada.ca > Taxes > Income tax > Tax shelters).

Appendix 2: Relevant Resources

CRA TI 2006-0196251C6 F – Rente assurée: Abri fiscal & 2010 Ruling
2009-0340381R3 F – Rente assurée: Rulings discussing demand loans and limited-recourse characterization under section 143.2.

Krumm v. Canada, 2021 FCA 78: Confirms the tax-shelter test is an objective statutory inquiry applied by reference to representations and statutory cost calculations.

Canada v. Baxter, 2007 DTC 5199, 2007 FCA 172 & Jevremovic v. Canada, 2008 DTC 6263, 2007 FCA 125: Decisions upholding statutory reporting consequences for unregistered tax shelters.

CRA Information Circular IC01-1R2: Third-Party Penalties (February 2026): Updates the application of Section 163.2 civil penalties targeting advisors who promote aggressive tax structures.

Hexalog Ltée c. La Reine, 2005 TCC 67: Establishes the “inseparable whole” doctrine under subsection 237.1(1). The Tax Court held that where an asset, financing facility, and reinvestment strategy are marketed and executed as one package, they legally constitute a single, composite “property.”

Appendix 3: Characteristics of Typical IFA Bank Loans

Based on standard industry documentation we have reviewed, typical Immediate Financing Arrangement (IFA) bank loans often exhibit the following explicit characteristics:

Demand Loan Structure with No Maturity: The facility is explicitly structured as an interest-only demand loan. There is no fixed maturity date and no set schedule requiring the repayment of principal within any specified 10-year period.

Death as an Event of Default: The death of the insured is formally classified as an event of default, which inherently triggers the demand for repayment out of the death benefit, demonstrating an intended timeline spanning the life of the insured.

Mandatory Link to Reinvested Funds: As a condition precedent to releasing funds, the bank requires an investment statement confirming a market value at least equal to the loan amount. This explicitly ties the loan approval directly to the reinvestment of funds, undermining the argument that the financing and subsequent business investment are independent transactions.

Strict Control Over Tracing: The loan conditions explicitly forbid paying the annual insurance premium directly from the line of credit or from the policy’s accumulated value. This contractually forces the borrower to execute the specific “two-step” flow of funds (pay premium out-of-pocket, then borrow and invest) required to claim paragraph 20(1)(c) tax deductions.

Restricted Drawdowns & Facility Limits: The facility limit is tied directly to cumulative premiums paid and cash surrender value, with annual advance schedules aligned strictly with policy premium cycles rather than flexible general credit line drawdowns.

Product Branding and Integration: The product is explicitly branded as an integrated strategy tied directly to the life policy (e.g., "Immediate Financing Arrangement – Investment Line of Credit"), further establishing the integrated nature of the representations.

Reviewer note: This analysis should be evaluated against the complete IFA documentation, including the actual loan agreement, policy illustration, financing conditions, marketing representations, and flow of funds—not the IFA label alone. In particular, reviewers should independently test the loan terms under ITA ss. 143.2(7) and (12), determine whether any resulting limited-recourse amount is a prescribed benefit in respect of the investment, and calculate whether the first-four-year representations satisfy the s. 237.1 tax-shelter test.

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David E. Kakon, B.Sc. (Math Hons.)

Financial security advisor

David@ArmstrongLife.com

Addendum: Two Routes to the Same Conclusion

A promoter might argue that the relevant property under Regulation 3100 is the life insurance policy itself, rather than the investment. This creates two possible analytical routes—both of which result in a \$0 net cost.

Route A – Investment as the Relevant Property

This is the primary route examined in this analysis because the financing was expressly represented as being used to acquire the income-producing investment and the interest deduction was represented by reference to that investment.

\$100,000 investment cost → \$100,000 limited-recourse amount → \$100,000 prescribed benefit in respect of the investment → \$0 recognized net cost → represented deductions > \$0 → s. 237.1 tax-shelter threshold met

The Representation: The promoter's illustration identifies the investment – not the policy – as the asset the borrowed funds were used to acquire, and derives the represented interest deduction specifically from that investment.

The Actual Tracing: The taxpayer's paragraph 20(1)(c) filings independently corroborate this same characterization, since a deduction under that provision is only available if the borrowed money was in fact used for an income-producing purpose – not to acquire the policy.

Route B – Insurance Policy as the Relevant Property

Alternatively, if the policy is the relevant property, the analysis relies on demonstrating that the policy and financing were heavily integrated into a single composite strategy (Hexalog Ltée c. La Reine and Krumm v. Canada). If this integrated "in respect of" connection is successfully established, the calculation yields the exact same result.

The Representation: Unlike Route A, no point-of-sale document identifies the policy itself as the asset acquired "with" the borrowed funds – the policy was paid for out-of-pocket, before any borrowing occurred.

The Actual Tracing: Establishing this route therefore requires a separate, non-obvious step: showing that the policy and financing were integrated into a single composite arrangement under Hexalog and Krumm, rather than relying on any direct funds-flow evidence.

This alternative characterization does not eliminate the tax-shelter question. It simply changes the property interest against which the prescribed-benefit analysis must be conducted. The issue in either case is whether the limited-recourse amount constitutes a prescribed benefit "in respect of" the relevant property interest. The analysis below therefore proceeds first on the basis that the investment is the relevant property, while recognizing the insurance policy as the principal alternative characterization.

Characteristics of an Immediate Financed Life Insurance Plan

Income Tax Rate: 50.17%

Loan Interest Rate: 5.00%

Characteristics of an Immediate Financed Life Insurance Plan

Deposits as Scheduled

Current -1 Dividend Scale 5.35% (For Information Purposes Only)

Policy Information					Loan Details			Annual Deductions				Benefits
		#1	#2	#3	#4	#5	#6	#8	#9	#10	#11	#12
		Deposit	Cash Value	Death Benefit	Annual Loan Amount	Cumulative Loan Amount	Loan Security Collateral (#5 - #2)	Tax Deductible Interest	Tax Deductible Premium	Total Annual Tax Deduction (#8 + #9)	Total Annual Tax Savings (#10xTx%)	Net Death Benefit (#3 - #5)
1	60	\$100,000	\$61,091	\$1,446,039	\$100,000	\$100,000	\$38,909	\$5,000	\$175	\$5,175	\$2,596	1,346,039
2	61	100,000	127,089	1,586,368	100,000	200,000	72,911	10,000	486	10,486	5,261	1,386,368
3	62	100,000	197,740	1,728,112	100,000	300,000	102,260	15,000	896	15,896	7,975	1,428,112
4	63	100,000	272,084	1,868,904	100,000	400,000	127,916	20,000	1,417	21,417	10,745	1,468,904
5	64	100,000	349,913	2,008,261	100,000	500,000	150,087	25,000	2,060	27,060	13,576	1,508,261
6	65	100,000	447,235	2,146,651	100,000	600,000	152,765	30,000	2,845	32,845	16,478	1,546,651
7	66	100,000	554,921	2,284,685	100,000	700,000	145,079	35,000	3,790	38,790	19,461	1,584,685
8	67	100,000	673,270	2,422,740	100,000	800,000	126,730	40,000	4,915	44,915	22,534	1,622,740
9	68	100,000	802,556	2,561,174	100,000	900,000	97,444	45,000	6,243	51,243	25,709	1,661,174
10	69	100,000	943,038	2,700,334	100,000	1,000,000	56,962	50,000	7,789	57,789	28,993	1,700,334
11	70	0	995,100	2,666,002	0	1,000,000	4,900	50,000	8,874	58,874	29,537	1,666,002
12	71	0	1,054,681	2,634,855	0	1,000,000	0	50,000	10,053	60,053	30,128	1,634,855
13	72	0	1,121,971	2,606,979	0	1,000,000	0	50,000	11,348	61,348	30,778	1,606,979
14	73	0	1,197,165	2,582,453	0	1,000,000	0	50,000	12,739	62,739	31,476	1,582,453
15	74	0	1,280,453	2,561,357	0	1,000,000	0	50,000	14,229	64,229	32,224	1,561,357
16	75	0	1,323,698	2,543,051	0	1,000,000	0	50,000	15,829	65,829	33,027	1,543,051
17	76	0	1,368,098	2,526,713	0	1,000,000	0	50,000	16,133	66,133	33,179	1,526,713
18	77	0	1,414,037	2,512,257	0	1,000,000	0	50,000	16,226	66,226	33,225	1,512,257
19	78	0	1,461,654	2,499,626	0	1,000,000	0	50,000	16,308	66,308	33,266	1,499,626
20	79	0	1,511,107	2,488,774	0	1,000,000	0	50,000	16,379	66,379	33,302	1,488,774
21	80	0	1,562,582	2,479,661	0	1,000,000	0	50,000	16,439	66,439	33,332	1,479,661
22	81	0	1,616,301	2,472,255	0	1,000,000	0	50,000	16,488	66,488	33,357	1,472,255
23	82	0	1,672,174	2,466,528	0	1,000,000	0	50,000	16,526	66,526	33,376	1,466,528
24	83	0	1,729,676	2,462,467	0	1,000,000	0	50,000	16,554	66,554	33,390	1,462,467
25	84	0	1,788,435	2,460,038	0	1,000,000	0	50,000	16,570	66,570	33,398	1,460,038
26	85	0	1,848,331	2,459,189	0	1,000,000	0	50,000	16,576	66,576	33,401	1,459,189
27	86	0	1,909,255	2,459,866	0	1,000,000	0	50,000	16,571	66,571	33,399	1,459,866
28	87	0	1,971,085	2,462,024	0	1,000,000	0	50,000	16,557	66,557	33,391	1,462,024
29	88	0	2,033,645	2,465,619	0	1,000,000	0	50,000	16,532	66,532	33,379	1,465,619
30	89	0	2,096,731	2,470,612	0	1,000,000	0	50,000	16,499	66,499	33,363	1,470,612
31	90	0	2,159,535	2,476,217	0	1,000,000	0	50,000	16,462	66,462	33,344	1,476,217
32	91	0	2,229,555	2,530,229	0	1,000,000	0	50,000	0	50,000	25,085	1,530,229
33	92	0	2,298,778	2,584,179	0	1,000,000	0	50,000	0	50,000	25,085	1,584,179
34	93	0	2,368,072	2,638,095	0	1,000,000	0	50,000	0	50,000	25,085	1,638,095
35	94	0	2,438,237	2,691,999	0	1,000,000	0	50,000	0	50,000	25,085	1,691,999
36	95	0	2,509,972	2,745,912	0	1,000,000	0	50,000	0	50,000	25,085	1,745,912
37	96	0	2,584,750	2,799,844	0	1,000,000	0	50,000	0	50,000	25,085	1,799,844
38	97	0	2,665,320	2,853,789	0	1,000,000	0	50,000	0	50,000	25,085	1,853,789
39	98	0	2,756,593	2,907,715	0	1,000,000	0	50,000	0	50,000	25,085	1,907,715
40	99	0	2,867,532	2,961,547	0	1,000,000	0	50,000	0	50,000	25,085	1,961,547
41	100	0	3,015,145	3,015,145	0	1,000,000	0	50,000	0	50,000	25,085	2,015,145

1,000,000